PPS Office of Internal Performance Audit: Notes on the current status of already approved audit for discussion with the Audit Committee 10/16/2025

Current Status of Already Approved Audits

English Language Learners – Compliance Audit

The objective of the audit was to determine if the school district has adequate internal controls to ensure compliance with PPS policy, administrative directives, state, and federal requirements stating in part, public schools must take affirmative steps to ensure students with limited English proficiency can meaningfully participate in their educational programs and services. Key compliance categories include:

- Identification and assessment of emerging bilingual students.
- Required communications with the student's family.
- Title III/ELD Family Information Session.
- Monitoring and reporting requirements.

Current Status: The draft report was issued to PPS management this week. We anticipate presenting the results of the audit in the November 6th Audit Committee meeting.

Measure 98 Audit

Measure 98, formally called the Oregon State Funding for Dropout Prevention and College Reediness Initiative, provides school districts with targeted state funds in three core areas: dropout prevention, career and technical education and college readiness.

The objective of the audit is to determine if the school district has adequate internal controls in place to ensure Measure 98 funds are spent for allowable purposes. We will also provide an analysis of activities/programs PPS funds with Measure 98 funds, and the impact of the activities/programs.

Current Status: We are about two-thirds of the way through our testing and anticipate the report will be ready for the Audit Committee in the January or February Audit Committee meeting.

Building Security Audit

The objective of the Building Security Audit is to determine if the school district has adequate internal controls in place to ensure each building has a building security plan and is in compliance with the plan.

Current Status: We have done the background research for this audit and plan to begin this audit in December. We anticipate the report will be ready for the Audit Committee in its May 2026 meeting.

Career and Technical Education (CTE) Program Audit

The objective of the audit is to determine whether students throughout the school district have equitable access to CTE programs.

Current Status: Since the approval of this audit, the CTE program has developed and implemented the PPS Career & Technical Education Strategic Plan 2024-2027. We recently met with Chris Brida, Director of CTE & Pathways to gain an understanding of the strategic plan. Based on an updated understanding of the CTE program, we would suggest rescoping this audit. We would like to bring an updated scope proposal to the next Audit Committee (November 6th) for approval.

Regardless of the scope, (current scope or an updated scope) we do not anticipate beginning this audit until the Spring of 2026. The completion of the audit will roll over to the beginning of the 2026-2027 school year.

Discussion of Future Audit Topic Ideas

We would like to obtain approval of the next set of audits to add to the audit plan. We need approval of the audit topics so we can begin gathering the necessary research and criteria over the course of the 2025-2026 school year to begin these audits in the 2026-2027 school year.

For today's (Oct 16) Audit Committee meeting, we would like to narrow the below list of topics to three or four. For the identified three of four topics we will build out a formal audit plan proposal and bring it back to the Audit Committee in the next meeting (Nov 6). Between this meeting and the next, we will meet with the Superintendent and the Superintendent's Leadership Team to discuss and get input on the three to four audit topics the Audit Committee will select from. We will include that input in the formal audit plan proposal. At the next Audit Committee meeting (Nov. 6), we would like to have the Audit Committee select two new audits for referral to the full Board for approval.

We keep an ongoing list of all the audit topic ideas that have been suggested and/or previously considered by the Audit Committee. We sent the list of audit topic ideas to each member of the PPS Board and Audit Committee and requested their thoughts and input on those ideas or they could add additional audit topic ideas to the list.

Below is a list of audit topic ideas that have received interest by one or more members of the Board and/or Audit Committee members.

1. Teacher Absences and Sub Protocols

Noted Risks/Why:

- Use of leave by PPS employees has increased significantly over the last five years
- Oregon's paid family and medical leave law was passed in 2019 and benefits began in September 2023 and significantly increase access to paid leave for Oregon employees.
- PPS may not have developed and implemented a strategy to mitigate the impact teacher absences could have on student performance outcomes.
- Could a change in protocols around substitute teachers be needed to help mitigate the impact teacher absences could have on student performance outcomes.

Level of Interest: 2 and 1 no

Notes/Comments:

If the idea behind the audit topic is that potentially the audit would include recommendations on how the district could reduce the use of leave used by teachers, that is not really the purpose of an audit. However, we could identify school districts that have reported significantly less usage of teacher's leave in comparison to PPS, and could identify whether those school districts have utilized a specific strategy to achieve that outcome.

Additionally, other states (like California) implemented a paid leave program similar to Oregon's several years ago. We could look at school districts in those states to see if there are any strategies utilized that PPS could consider to help mitigate the impact teacher absences could have on student outcomes. Careful scoping and messaging around this audit would be important to make clear the audit is not an attempt at restricting legally protected leave.

2. Support System for Principals

Noted risks/Why:

- The Secretary of State's Audit Division issued an audit of Oregon's Department of Education and PPS in January of 2019. The audit indicated the Board should ensure that the District's strategic plan addresses challenges in the organizational culture, including the division between central administrators, principals, and teachers. They also stated: "PPS should prioritize development stability of effective principals by providing incentives and additional support, particularly at high-poverty schools."
- Among other objectives, an audit would include an analysis of school visits performed by various school district leaders to verify the frequency of visits; if visits are tracked; how concerns or issues and feedback from principals are addressed and recorded; and determine the impact it has made to the principals and vice principals.

Level of Interest: 3

OIPA Input:

We are aware PPS has been doing a variety of work in this area over the last six years to improve the support provided to school principals. In 2021 PPS was one of eight US school districts chosen to receive an $8.2 million, five-year grant from the Wallace Foundation to build an equity-centered pipeline for hiring and training principals. In part, the Wallace Foundation grant funding allowed PPS to focus on preparing and training principals with tools and strategies to promote racial equity, strategically recruiting and hiring equity-centered principal candidates, and fostering inclusive environments that will set-up principals for success and long-term retention.

Typically, when the district is undergoing significant multi-year work, it is better to hold off on an audit until that work has been completed. Our understanding is that the current school year (2025-2026) is year five of the five-year grant. Approving this audit now, to be conducted during the 2026-2027 school year, would probably be the appropriate timing to enable us to look at the impact of some the work the Wallace Foundation grant funded.

3. Student Performance Measures

Noted risks/Why:

- There may be a lack of or ineffective monitoring and evaluations of student performance that could be a barrier to achievement of the PPS Graduate Portrait.
- Is the school district utilizing student performance measures to identify and support students who are struggling academically?
- How does the district monitor and evaluate additional supports provided to ensure students are making or continuing to make progress?
- The Secretary of State's Audit Division issued an audit of Oregon's Department of Education and PPS in January of 2019. The audit emphasized the need to use performance measures to identify students who are struggling academically and monitor additional supports provided to ensure the student is making or continuing to make progress towards the identified goal.

Level of Interest: 1, plus another 1 who liked the idea but recommended this topic be broken down into a series of audits one for each of the Board goals.

> OIPA Input: We like the idea of breaking this topic out into a series of audits; one for each of the Board goals. We think PPS has already done a lot of work in this area. The Board is provided a variety of data on student performance throughout the year. It appears the school district has identified student performance measures that could be used to identify academically struggling students; however, reports to the Board do not commonly discuss how the data is used to provide additional supports where needed, or on the effectiveness of additional supports. We think there would be value in taking a deeper look at what happens when performance measures identify a student who may be struggling. How does the district determine what additional supports are needed, and how does the district ensure any additional supports identified are provided, and how does the district measure the impact of additional supports?

4. School Audits

Noted risks/Why:

- There are a variety of internal controls that are performed at each school with very little or no oversight by the district. For example:
    - Approval of leave time: How does the school reconcile leave approvals to actual leave reports?
    - Field Trip approvals (for those that do not require Board approval): How does the school ensure field trips are properly approved and supervised by an adequate number of qualified chaperones?

  - Nutritional standards: How does the school ensure foods sold to students during the official school day meet the District's nutritional standards. Specifically, as it relates to food and beverages sold outside the District's nutritional services.
  - Student Body Funds: The Student Body Funds audit identified a need to strengthen internal controls around financial internal controls related to cash handling and receipting.
- Each school may perform each of these processes/procedures differently because there is not a standard operating procedure that identifies best practices for each item.

Level of Interest: 1

OIPA Input: We like the idea of doing a consistent and ongoing series of school audits where each year we would perform a school audit at one or two schools. At some school districts, school audits, are expected as part of an internal audit mandate. PPS does not have this type of expectation, but we see the value in routinely reviewing internal controls that are performed out at the schools with little or no district review/oversight.

5. Results of 2021 Summer Expanded Program Offerings

Noted risks/Why: In the summer of 2021, the district significantly increased its summer program offerings. In 2022 an audit of the impact of the expanded summer program offering was suggested to consider the following:

- Did the increase in summer program offerings result in a measurable increase in student outcomes when compared to prior year summer programing offerings?
- Is there data available that could be analyzed to determine whether the increased summer program offering resulted in a measurable increase in student outcomes for those who participated?
- Is there data available that could be analyzed to determine whether the increase in summer program offerings that would indicate whether investing in expanded summer programming offerings is a strategy that results in measurable increases in student outcomes.

Level of interest: 1

OIPA Input: An audit more broadly of the impact of summer program offerings seem like a good idea and the results could potentially be considered as an input to inform decision making process around investing in summer programs.

6. Incident Response Procedures and Communications

Noted risks/Why?

- This audit was requested by two students who stated they were aware of, what they considered, a significant security threat on campus and were not provided any communication from the school about what happened, and what protocols were implemented to prevent the situation from arising again. Does the District have a formal policy or administrative directive that identifies communication expectations to students around security threats that occur on campus?

Level of Interest: 1 – but not a high priority

OIPA Input: We value and (whenever reasonably possible), believe we should prioritize the input of students. We have a Building Security Audit planned for the 2026-2027 school year, however we do not anticipate that audit will include consideration of communication protocols with students. We plan to partner with the Student Representative to the Board during the Building Security Audit to get input from students about building security. Perhaps we utilize that student engagement to ask some questions about the communication protocols to help determine whether an audit of this type should be considered in a future year.

7. Complaints Process

Noted risks/Why:

- A Board member requested an audit of the district's compliance with the Complaints process policy. PPS's complaints policy 4.50.030-P. The policy was last updated in 2023. The policy includes detailed process and procedures including expected time periods for responses to complaint. For example, the policy identifies the number of days the district has to respond as well as the process and timing requirements related to appeals of the decision.
- The policy also states: Because complaints can be an important indicator of the health of an organization, the Superintendent will provide to the Board at least annually data on (1) Division 22 trends, emerging issues, and District responses, as well as an assessment of the formal complaints process, and (2) a summary of complaints that are not governed by a process that is required by statute or regulation that have been filed using the District's complaints process concerning matters that affect more than an individual student or school.
- Risks include, the district is not providing written decisions to complainants within identified time frames and/or the Board is not being provided the complaints data at least annually as required by the policy.

Level of interest: 1 – middle priority

OIPA Input: Since the update to the policy in 2023 we have noted a decrease in the public visibility around complaints. For example, prior to 2023 it was not uncommon to see complaints decisions be appealed to the level requiring a Board decision. This could be the intended results of the policy update in 2023 or it could indicate a change in the way the district is processing complaints. Further, we have not noted the Board being provided with an annual report related to complaints data over the last two years as required by the policy. This information may be provided to the Board as in informational item via email, and we may just not be aware that the report was provided. This is an audit we would like to see selected , if not this time, in the round of audits.

8. Contracts and Contract Management

Noted Risks/Why:

- Board members would like to have a better understanding of the services PPS contracts for district-wide.
- Contracts do not always include Specific, Measurable, Achievable, Relevant, and Time-bond (SMART) goals.
- Deliverable identified in the Contract's scope of work are not always obtained or not obtained timely.
- Personal Service contracts appear to be renewed routinely without renegotiation.

Level of Interest: 1

OIPA Input:

The Contracts Audit issued in June of 2020 looked at the contract management for personal service contracts for direct student services. We identified a variety of noncompliance with PPS's own policies, administrative directives, and training related to contract management. That audit included 20 recommendations, 11 of which have not been implemented by the school district. We suggest the full implementation of the outstanding recommendations be completed before an additional audit of this type is considered.